



Solution Manual Prepared by Unique Consultancy and Training Center

2015 Exit Exam

Model Exam (Accounting & Finance)

Solution Manual Prepared by Unique Consultancy and Training Center



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1. Answer is D

Revenue may be earned through exchange is true for both governmental organizations and for-profit organizations.

Governmental organizations and for-profit organizations both generate revenue through exchange, whether it is through the sale of goods or services, or through taxes or fees. While governmental organizations may not have a profit motive, they still rely on funding and resources provided by individuals and entities that may not directly benefit from the use of those resources. And while for-profit organizations have owners who benefit from the profits generated, governmental organizations do not have owners in the traditional sense

2. Answer is D

To calculate the business tax liability of the ABC Share Company, we need to first calculate its taxable income based on the information provided:

Sales revenue: Birr 10,000,000

Cost of goods sold: Birr 4,000,000

Gross profit: Birr 6,000,000

Operating expenses:

Salary expense: Birr 270,000

Store rent expense: Birr 100,000

Depreciation expense: Birr 200,000 (5% of Birr 4,000,000)

Penalty expense: Birr 40,000

Interest expense: Birr 120,000 (Interest expense is allowable up to 2% increment from interest rate between National Bank of Ethiopia and Commercial Banks) that means $10 + 2 = 12\%$ is allowable interest expense. $(1,000,000 \times 12\% = 120,000)$

Donation expense: Birr 200,000

Total operating expenses: Birr 1,000,000

Net income before tax: Birr 5,000,000

To calculate the taxable income, we need to make adjustments for the non-deductible expenses, which are the penalty and the donation expenses:

Net income before tax: Birr 5,000,000

Add: Non-deductible expenses (**penalty + donation + non allowable interest expense**): Birr 310,000

Taxable income: Birr 5,310,000

To calculate the business tax liability, we need to apply the tax rate of 30% to the taxable income:

Business tax liability: Birr 5,310,000 x 30% = Birr 1,593,000



3. Answer is D

If the toll bridge is accounted for as an Enterprise Fund activity and a certain portion of the tolls collected is required to be set aside for maintaining the bridge, these resources should be accounted for in the Toll Bridge Enterprise Fund.

An Enterprise Fund is a type of fund used in governmental accounting to account for activities that are similar to those of a business. The Toll Bridge Enterprise Fund is used to account for the construction, operation, and maintenance of the toll bridge. The tolls collected from the bridge users are used to finance the costs associated with the bridge, including the cost of maintenance.

Therefore, if the City of Turkana has arranged for a loan to finance the construction of the toll bridge and a portion of the tolls collected is required to be set aside for maintaining the bridge, these resources should be accounted for in the Toll Bridge Enterprise Fund. The Debt Service Fund is used to account for the repayment of loans, while the Capital Projects Fund is used to account for the construction of capital assets. The General Fund is used to account for the daily operations of the government.

4. Answer is A

The adjustment that does not occur in the consolidating process is option (A) elimination of parent's retained earnings. Retained earnings represent the accumulated profits of a company that have not been distributed as dividends. In the consolidating process, the financial statements of the subsidiary are combined with those of the parent company to produce consolidated financial statements. The purpose of consolidation is to present the financial results and position of the group as a whole, rather than of individual companies within the group.

5. Answer is D

A subsidiary ledger is a detailed record of individual transactions that supports a controlling account in the general ledger. Companies create subsidiary ledgers whenever they need to monitor the individual components of a controlling general ledger account. For example, a company may create a subsidiary ledger for accounts receivable to track the individual transactions with each customer. The subsidiary ledger will contain the detailed information about each transaction, such as the date, amount, and invoice number, while the controlling account in the general ledger will show the total amount of accounts receivable.

6. Answer is A

The cost of goods sold and ending inventory can be calculated as follows:

Cost of goods sold = (3 units x Birr 3,000) + (3 units x Birr 4,000) = Birr 9,000 + Birr 12,000 = Birr 21,000

To calculate the cost of the 3 units sold from the February 8 purchase, we use the specific identification method and take the cost of the specific units sold. The cost of the 3 units sold from the February 8 purchase is Birr 3,000. To calculate the cost of the 3 units sold from the June 10 purchase, we take the remaining cost of goods sold and divide it by the remaining number of units:

Cost of ending inventory = Birr 21,000 - Birr 9,000 = Birr 12,000



7. Answer is C

Calculation:

- Standard labor hours per unit = 4
- Budgeted units = 3,350 + 150 = 3,500
- Budgeted labor hours = 3,500 * 4 = 14,000
- Budgeted labor cost = Birr 117,600
- Budgeted hours for 3,350 x 4 = 13,400
- Actual labor hours = 13,450
- Actual labor cost = Birr 111,850

Direct labor efficiency variance = (Standard hours - Actual hours) * Standard rate = (13,400 - 13,450) * 8.4 = Birr **420 Unfavourable**

Therefore, the direct labor efficiency variance for the month was Birr 438.80 Unfavourable.

8. Answer is A.

the amount of interest expense recorded with payment 5 is Birr 893.

Interest expense = **Lease liability at beginning of year x Lease interest rate**

$$\begin{aligned} &= \text{Birr } 8,925 \times 10\% \\ &= \text{Birr } 892.5 \end{aligned}$$

9. Answer is B

Calculation:

- Equivalent units of production for material = Beginning work in process units + Units started in March = 5,000 + 20,000 = 25,000
- Equivalent units of production for conversion cost = Beginning work in process units * (100% - 25%) + Units started in March * (100%) + Ending work in process units * (25%) = 5,000 * 75% + 20,000 * 100% + 8,000 * 25% = 22,000
- Cost per equivalent unit of production for material = (Beginning work in process inventory cost for material + Costs in March for material) / Equivalent units of production for material = (20,000 + 34,000) / 25,000 = Birr 1.80
- Cost per equivalent unit of production for conversion cost = (Beginning work in process inventory cost for conversion cost + Costs in March for conversion cost) / Equivalent units of production for conversion cost = (60,000 + 12,000) / 22,000 = Birr 5.50

Therefore, the cost per equivalent unit of production for material and conversion cost are Birr 1.80 and Birr 5.50, respectively.

Here is the breakdown of the calculation:



- **Equivalent units of production for material:**
 - Beginning work in process units = 5,000
 - Units started in March = 20,000
 - Equivalent units of production for material = $5,000 + 20,000 = 25,000$
- **Equivalent units of production for conversion cost:**
 - Beginning work in process units * $(100\% - 25\%) = 5,000 * 75\% = 3,750$
 - Units started in March * $(100\%) = 20,000 * 100\% = 20,000$
 - Ending work in process units * $(25\%) = 8,000 * 25\% = 2,000$
 - Equivalent units of production for conversion cost = $3,750 + 20,000 + 2,000 = 25,750$
- **Cost per equivalent unit of production for material:**
 - Beginning work in process inventory cost for material = 20,000 Birr
 - Costs in March for material = 34,000 Birr
 - Cost per equivalent unit of production for material = $(20,000 + 34,000) / 25,000 = \text{Birr } 1.80$
- **Cost per equivalent unit of production for conversion cost:**
 - Beginning work in process inventory cost for conversion cost = 60,000 Birr
 - Costs in March for conversion cost = 12,000 Birr
 - Cost per equivalent unit of production for conversion cost = $(60,000 + 12,000) / 22,000 = \text{Birr } 5.50$

10. Answer is C

The cost of a patent should be amortized over its useful life, which is the period over which the patent is expected to generate economic benefits. The useful life of a patent can be either its legal life or its economic life, whichever is shorter.

11. Answer is B

The statement of cash flows is a financial statement that reports the cash inflows and outflows of a company during a specific period of time. It provides information on the sources and uses of cash, and is useful for assessing a company's ability to generate future cash flows, its ability to pay dividends, and the quality of its earnings.

However, the statement of cash flows is generally least useful for assessing the financial position of a company at a point in time. This is because the statement of cash flows only provides information on cash flows, and does not provide information on the assets, liabilities, and equity of a company. To assess the financial position of a company at a point in time, it is necessary to look at the balance sheet, which provides information on the assets, liabilities, and equity of a company at a specific point in time.

12. Answer is C

Audit is not classified as internal or external based on the type of information audited. Rather, audit is classified as either internal or external based on the relationship between the auditor and the organization being audited.



13. Answer is C.

A joint venture is a business entity that is created by two or more parties to undertake a specific project or activity. The partners in a joint venture share in the management and control of the venture, and they share in the profits and losses of the venture.

The other statements are not characteristics of a joint venture.

- (a) Debt incurred by the venture is not reported on the venturers' statement of financial position. Instead, the debt is reported on the venture's statement of financial position.
- (b) The initial carrying value reported does not necessarily equal the book value of resources contributed. The initial carrying value is determined based on the fair value of the resources contributed.
- (d) The partners in a joint venture can be individuals or businesses. There is no restriction on the type of entity that can be a partner in a joint venture.

14. Answer is B

Insurance companies generate revenue by collecting insurance premiums from policyholders. Insurance premiums are the payments made by policyholders to the insurance company in exchange for the insurance coverage provided by the policy. The premiums charged by insurance companies are based on the level of risk associated with the policy, the amount of coverage provided, and other factors.

Option (a) Interest income is a source of revenue for insurance companies, but it is not the major source of revenue. Insurance companies invest the premiums collected from policyholders in various investments to generate income, including interest income.

15. Answer is D

According to the acquisition method of accounting for business combinations, costs paid to lawyers and accountants for services in arranging a merger should be option (d) recorded as an expense in the period the merger takes place.

Under the acquisition method, the acquiring company records the assets acquired, liabilities assumed, and any non-controlling interest in the acquired company at their fair values as of the acquisition date. Any difference between the total cost of the acquisition and the fair value of the net assets acquired is recognized as goodwill.

16. Answer is C

Contribution margin ratio = (Sales - Variable expenses) / Sales

When variable expenses as a percentage of net sales decrease, the contribution margin ratio increases. This is because a smaller percentage of each sales dollar is used to cover variable expenses, leaving a larger percentage of each sales dollar available to cover fixed costs and contribute to profit.



17. Answer is A

Under the double declining balance method, the annual depreciation expense is calculated by multiplying the book value of the asset at the beginning of the year by twice the straight-line depreciation rate. The straight-line depreciation rate is calculated by dividing 1 by the estimated useful life of the asset.

The book value of the asset at the beginning of the year is calculated by subtracting the accumulated depreciation from the cost of the asset.

Using the given information:

Cost of the machine = Birr 30,000

Residual value = Birr 5,000

Estimated useful life = 5 year

Straight-line depreciation rate = $1 / 5 = 0.2$

Double declining balance rate = $2 \times 0.2 = 0.4$

Year 1 (2022):

Book value at beginning of year = Cost of the machine = Birr 30,000

Depreciation expense = Book value at beginning of year $\times$ Double declining balance rate = Birr 30,000 $\times$ 0.4 = Birr 12,000

Accumulated depreciation = Depreciation expense = **Birr 12,000**

18. Answer is C.

The primary market is the market where new securities are issued and sold for the first time, with the proceeds going to the issuing corporation. Investment banks, acting as underwriters, help the corporation to issue and sell new securities in the primary market. The investment bank purchases the securities from the corporation and then sells them to investors.

In contrast, the secondary market is the market where securities that have already been issued and sold in the primary market are bought and sold among investors. In the secondary market, the proceeds of the sale go directly to the seller of the security, not to the issuing corporation.

19. Answer is C

The false statement about partnership business is option (c) In a general partnership there should be at least one limited partner.

A general partnership is a type of partnership in which all partners are actively involved in the management of the business and share equally in the profits and losses of the partnership. There are no limited partners in a general partnership.

20. Answer is D.

As per IAS 40, defined under paragraphs 35 to 55 under 6A, the **property interest under an operating lease** is classified as investment property only if it uses the fair value model.

21. Answer is D.

The Regional Governments of Ethiopia have the authority to collect Tax on Profit and sales tax collected from individual traders, Rural land use fee and tax on income from inland water, **but** Regional Governments of Ethiopia have the authority to collect Tax on income from air, train and marine transport activities



22. Answer is A.

To calculate the dividend per share, we first need to calculate the total amount of dividends declared.

Dividend declared = Birr 45,000

Next, we need to calculate the total number of outstanding shares.

Number of outstanding shares = 10,000 issued shares - 2,000 treasury shares + 1,000 shares sold from treasury = 9,000 shares

Therefore, the dividend per share is calculated as follows:

Dividend per share = Dividend declared / Number of outstanding shares

Dividend per share = Birr 45,000 / 9,000 shares

Dividend per share = **Birr 5 per share**

23. Answer is D

EI = BI + Unit produced – unit sold

June Ending = 1,200 + unit produced - 3000

Unit produced: $136,500 / 13 = 10,500$ hours of labor

$:10500/3 = 3,500$ units

EI: $1,200 \text{ units} + 3,500 \text{ units} - 300 \text{ units} = 1,700 \text{ units}$

July sales: June EI / 40%

$= 1,700 \text{ units} / 0.4$

= 4,250 units

24. Answer is C

An impairment loss occurs when the carrying amount of an asset exceeds its recoverable amount. The carrying amount of an asset is the amount at which an asset is recognized in the balance sheet, after deducting any accumulated depreciation and accumulated impairment losses. The recoverable amount of an asset is the higher of its fair value less costs to sell and its value in use.

When an asset's carrying amount exceeds its recoverable amount, the difference is recognized as an impairment loss in the income statement. The impairment loss reduces the carrying amount of the asset to its recoverable amount.



25. Answer is C

A sunk cost is a cost that has already been incurred and cannot be recovered. It is a cost that has been paid and cannot be changed, so it should not be considered in future decisions. In this case, the business has acquired a special purpose machine at a cost of Birr 100,000, and it has been realized that it was unwise to buy this item. However, no amount of regret can change the fact that the cost has already been incurred and cannot be recovered.

26. Answer is B

Analytical procedures are used by auditors to assess the likelihood of material misstatements in the financial statements. One type of analytical procedure is to compare ratios of financial statement items over time. In this case, the auditor would compare the ratio of depreciation expense to gross equipment cost with previous years. If the ratio has changed significantly, the auditor would investigate the reason for the change to assess whether it is indicative of a material misstatement.

27. Answer is B

The ideal measure of short-term receivables in the statement of financial position is the discounted value of the cash to be received in the future. However, in practice, this is not always done because the amount of the discount is often not material.

The discount on a short-term receivable is the difference between the face value of the receivable and the present value of the receivable. The present value of the receivable is the amount of cash that the entity expects to receive in the future, discounted to the present day.

The amount of the discount on a short-term receivable is usually not material because short-term receivables are typically paid within a short period of time. As a result, the difference between the face value of the receivable and the present value of the receivable is not significant.

28. Answer is B

Allocating support department costs based upon user department usage is a way to discourage unnecessary use of the support department's services. This is because user departments will only be charged for the services that they actually use. If a user department does not use the support department's services, then they will not be charged for those services.

29. Answer is B

The cash conversion cycle (CCC) is the length of time it takes a company to convert its inventory into cash. It is made up of three components:

- Days sales outstanding (DSO): The average number of days it takes a company to collect payment from its customers.
- Days inventory outstanding (DIO): The average number of days it takes a company to convert its inventory into finished goods and then sell those finished goods.
- Days payable outstanding (DPO): The average number of days it takes a company to pay its suppliers.

The CCC can be shortened by reducing any of these three components. Option (b) would reduce the DIO component of the CCC, which would shorten the overall CCC.



30. Answer is B

This is because when managers own shares in the company, their interests are aligned with the interests of the shareholders. This is because the managers' share price will go up if the company does well, and their share price will go down if the company does poorly.

31. Answer is C

A share-based payment is a transaction in which a company acquires goods or services by issuing shares or other equity instruments. Share-based payments include employee share purchase plans, employee share option plans, and share appreciation rights.

32. Answer is B

NPV (Project A) = Birr 2,000/(1+0.12)¹ + Birr 2,000/(1+0.12)² - Birr 1,500/(1+0.12)³ + Birr 2,000/(1+0.12)⁴ + Birr 2,000/(1+0.12)⁵ + Birr 2,000/(1+0.12)⁶ - **Birr 3,500**

= (Birr 1785.6 + 1594.2 – 1067.5 + 1271 + 1134 + 1013) – 3,500
= 2,232

NPV (Project B) = Birr 1,500/(1+0.12)¹ - Birr 1,000/(1+0.12)² + Birr 1,500/(1+0.12)³
- 1,000/(1+0.12)⁴ + 1,500/(1+0.12)⁵ + 1500/(1+0.12)⁶
= [1339 – 797.2 + 1067.6 – 633.5 + 851.14 + 759] - 2500
= 2585.29 - 2500
= 85

33. Answer is B

Prime cost = Cost of direct materials + Cost of direct labor
= Cost of cotton used in production during the period + Cost incurred for factory labor converting cotton in to tape
= Birr 600,000 + Birr 300,000
= Birr 900,000

34. Answer is A

Temporary book-tax differences are differences between the book value of an asset or liability and its tax basis. These differences will eventually reverse over time, and they will result in either a tax liability or a tax refund.

Contingent liabilities are not temporary book-tax differences because they are not recognized on the balance sheet until they are probable and estimable. Once they are recognized, they will be treated as a liability for both book and tax purposes.



35. Answer is C

Here is a breakdown of the calculation:

- **Beginning inventory:** Birr 400,000
- **Net Purchases:** Birr 500,000
- **Ending inventory:** Birr 150,000
- **Cost of merchandise sold:** $400,000 + 500,000 - 150,000 = \text{Birr } 750,000$

36. Answer is A

The false statement is option (a) The auditor needs to modify audit opinion. If the auditor found 5 unbilled shipping documents out of a sample of 100, the deviation rate is 5%. Since the tolerable deviation rate is 4%, the actual deviation rate exceeds the tolerable deviation rate. This indicates that there may be a material misstatement in the population, and the auditor needs to take additional actions to address the issue.

37. Answer A

The repayment of bond principal should be reported in the fund statements of a debt service fund as a reduction of bonds payable. A debt service fund is a fund used to account for the accumulation of resources and the payment of principal and interest on general long-term debt. When the bond principal is repaid, it reduces the amount of bonds payable outstanding, which should be reflected in the fund statements of the debt service fund.

38. Answer is C

Public debt can be used for various purposes, including financing budget deficits, financing wars, promoting economic development, and financing government enterprises or social welfare programs. Therefore, option (c) is false as it limits the use of public debt only to promote economic development and not to finance wars.

39. Answer is B

Goodwill is the amount by which the purchase price paid for an acquired company exceeds the fair value of its identifiable net assets. In this case, Star, Inc. purchased all of the outstanding common stock of Green Co. for Birr 15 per share, which implies a total purchase price of Birr 3,750,000 (250,000 shares x Birr 15 per share). Green Co.'s carrying amount of net assets at the acquisition date was Birr 3,000,000, and the fair value of its property, plant, and equipment exceeded its carrying amount by Birr 400,000.

Thus, the fair value of Green Co.'s net assets at the acquisition date was Birr 3,400,000 (Birr 3,000,000 + Birr 400,000). The excess purchase price over the fair value of Green Co.'s net assets is Birr 350,000 (Birr 3,750,000 - Birr 3,400,000). Therefore, Star should report Birr 350,000 as goodwill in its November 30, year 1 consolidated statement of financial position.



40. Answer is B

Accounts and notes receivable are reported in the current assets section of the statement of financial position at net realizable value.

Net realizable value is the estimated selling price of the accounts or notes receivable less any allowance for doubtful accounts or notes. This is the amount that the company expects to collect from its customers after accounting for any anticipated losses due to non-payment.

41. Answer is D

The flexible-budget variance is BEST for measuring operating performance. The flexible budget variance measures the difference between the actual results and the flexible budget, which is based on the actual level of activity achieved during the period. This variance reflects the difference between the actual results and what the results should have been, given the actual level of activity.

42. Answer is C

The cut-off assertion for accounts payable ensures that all liabilities incurred in the current period have been recorded, and that no liabilities from prior periods have been recorded in the current period.

One way to test the cut-off assertion for accounts payable is to select a sample of receiving reports around year-end and compare the dates on the receiving reports to the dates on the related vouchers. If the dates on the receiving reports are after the year-end, then the vouchers should not be included in the accounts payable balance as of the year-end.

43. Answer D

The cost of fulfillment is the measurement basis that will often be the relevant measurement basis for liabilities. The conceptual framework of the IPSASB (International Public Sector Accounting Standards Board) identifies several measurement bases for liabilities, including historical cost, current cost, cost of release, fair value, and cost of fulfillment.

44. Answer is C

Bond proceeds equal to the face value of the bonds are reported in a Capital Projects Fund as other financing source. A Capital Projects Fund is a fund used to account for financial resources used to acquire or construct major capital facilities, such as buildings, highways, or bridges. When bonds are sold to finance the construction of a new public safety station, the proceeds from the bond sale should be reported in the Capital Projects Fund as other financing source.



45. Answer is D

An Enterprise Fund is the fund in which a government would be least likely to record its annual budget and integrate it into its accounting system.

Enterprise funds are used to account for operations that are financed and operated in a manner similar to private business enterprises. Examples of enterprise funds include utilities, airports, parking garages, and transit systems. Because enterprise funds are designed to operate like businesses, they are less likely to record their annual budget and integrate it into their accounting system.

46. Answer is B

Perpetual inventory system is a method of accounting for inventory where the inventory records are continuously updated to reflect changes in inventory levels. In a perpetual inventory system, the cost of goods sold is determined after each sale, and the inventory records continuously show balances that should be on hand.

47. Answer is C

The primary purpose of deposit insurance is to prevent banking panics. Deposit insurance is a program provided by governments to protect depositors from losses due to the failure of an insured bank. The main purpose of deposit insurance is to prevent banking panics, which can occur when depositors lose confidence in the banking system and rush to withdraw their deposits. This can lead to a chain reaction of bank failures and a breakdown of the financial system.

48. Answer is B

The identifiable net assets (INA) of Sub Inc. are equal to the fair value of its assets minus the fair value of its liabilities, which is $211,000 - 74,000 = 137,000$.

The amount paid for Sub Inc., which is 135,000, is less than the INA of Sub Inc., which is 137,000. Therefore, there is a gain from bargain purchase of $135,000 - 137,000 = (2,000)$.

49. Answer is C

Lower-of-cost-or-net realizable value as it applies to inventory is best described as the reporting of a loss when there is a decrease in the future utility below the original cost.

Lower-of-cost-or-net realizable value (LCNRV) is a method of valuing inventory where the inventory is reported at the lower of its cost or net realizable value. Net realizable value is the estimated selling price in the ordinary course of business, minus the estimated costs of completion, disposal, and transportation.

Under the LCNRV method, if the net realizable value of the inventory is less than its cost, the inventory is written down to its net realizable value, and a loss is recognized in the income statement.



50. Answer is D

The difference in information between borrowers and lenders about the potential returns and risks associated with an investment project is called asymmetric information.

Asymmetric information is a situation where one party in an economic transaction has more or better information than the other party. In the context of borrowing and lending, borrowers typically have more information about the potential returns and risks associated with an investment project than lenders. This can create a problem of adverse selection, where borrowers with the highest risk projects are the most likely to seek loans, and lenders may not have enough information to evaluate the quality of the investment projects.

51. Answer is C

Maturity matching is a financing approach that seeks to match the maturities of assets and liabilities to minimize the risk that the firm will be unable to pay off its maturing obligations. The approach involves using short-term financing to fund short-term assets and long-term financing to fund long-term assets.

52. Answer is C

The difference between keeping the old machine and replacing the old machine is calculated as follows:

Keeping the old machine:

- Annual cash operating costs = Birr 7,000
- Total cost of keeping the old machine = $5 * 7,000 = 35,000$

Replacing the old machine:

- Annual cash operating costs = Birr 4,000 x 5 = 20,000
- Total cost of replacing the old machine = Birr 35,000 – 8,000 = 27,000
- Total replacing cost = 20,000 + 27,000 = 47,000

Therefore, the difference between keeping the old machine and replacing the old machine is $47,000 - 35,000 = \text{Birr } 12,000$ in Favor of keeping the old machine.

53. Answer is B

Retained earnings refer to the portion of a company's profits that are not distributed as dividends but are instead reinvested in the business. The cost of retained earnings is the opportunity cost of using these funds for other investment opportunities.



The cost of retained earnings is not a direct cost to the firm, but it is an opportunity cost to the shareholders. It represents the rate of return that the shareholders could have earned if they had received a dividend and invested the funds in another opportunity with similar risk.

54. Answer is B

The impairment loss is calculated as the difference between the carrying amount of the asset and its fair value less costs to sell.

- Carrying amount = Birr 190 million
- Fair value less costs to sell = Birr 180 million
- Impairment loss = Birr 190 million - Birr 180 million = Birr 10 million

55. Answer is B

$$\begin{aligned} & \text{Present value of annuity received at the beginning} - \text{Present value of annuity received at the end} - \\ &= \left[\frac{500 \left(1 - \frac{1}{(1.00604)^{144}} \right)}{0.00604} \right] - \left[\frac{500 \left(1 - \frac{1}{(1.00604)^{144}} \right)}{0.00604} \right] \\ &= 48,290.765 - 48,000.8 \end{aligned}$$

=289.98

56. Answer is B

Client contributory negligence is a legal principle that can reduce or entirely eliminate an auditor's liability to a client. This principle applies when the client's own negligence contributed to the loss that the client suffered.

For example, if a client fails to provide the auditor with all of the necessary information, and the auditor is unable to detect a material misstatement as a result, the client's contributory negligence may reduce or entirely eliminate the auditor's liability.

57. Answer is A

Control in accounting is the ability to determine the direction of a company's management and policies. Control can be achieved through ownership of voting shares, by having representation on the board of directors, or by having other contractual arrangements that give one party the ability to control the company.

In this case, X owns 49% of Y and has an agreement with Z, which owns 10% of Y, whereby Z will always vote in the same way as X. This means that X effectively controls 59% of the voting rights in Y, which is more than 50%. Therefore, X can exercise control over Y.



58. Answer D

If the Swiss franc appreciated in value relative to the Birr from the transaction date to the settlement date, Slick Co. would have recorded a foreign exchange gain related to its franc receivable. If the Mexican peso depreciated in value relative to the Birr from the transaction date to the settlement date, Slick Co. would have recorded a foreign exchange gain related to its peso payable. This would result in an increase in Birr value for both the franc receivable and the peso payable.

59. Answer B

Current period cost plus the cost of beginning inventory divided by EUP is correct to compute the cost per equivalent unit for a given cost component using the weighted average method.

The weighted average method assumes that the cost of beginning inventory and the cost incurred during the current period are averaged together to determine the cost per equivalent unit. The cost per equivalent unit is then used to assign costs to units of production completed and transferred out, as well as to units of production that remain in ending inventory.

60. Answer C

Central City should not recognize any grant revenue related to the Birr 2 million block grant in its fund financial statements for the year ending September 30, 2020, as the grant can be used to cover any operating expenses incurred during fiscal 2021. Therefore, the grant revenue related to the Birr 2 million block grant should be recognized in the fiscal year ending September 30, 2021, when the grant is used to cover operating expenses.

For the Birr 1 million grant that can be used any time to acquire equipment for its police department, Central City should recognize the full amount of the grant revenue in the year ending September 30, 2020, as it is a specific-purpose grant that can only be used to acquire equipment. Therefore, the correct answer is option (c) Birr 1 million.

Therefore, Central City should recognize Birr 1 million in grant revenue in its fund financial statements for the year ending September 30, 2020.

61. Answer D

The recording process involves the following steps:

- Analyzing transactions to determine their effect on the accounts
- Recording transactions in a journal, which is a chronological record of all transactions
- Posting journal entries to the general ledger, which is a summary of all accounts used by the company
- Preparing a trial balance, which is a list of all accounts and their balances at a specific point in time
- Preparing an income statement is not part of the recording process. Instead, it is part of the financial reporting process, which involves using the recorded financial information to prepare financial statements, such as the income statement, balance sheet, and statement of cash flows.

62. Answer B



Dividends are payments made by a company to its shareholders out of its profits. **External equity financing** is when a company raises money by issuing new shares to investors.

Dividends do not increase a company's proportion of external equity financing. In fact, dividends can actually decrease a company's proportion of external equity financing because they reduce the amount of cash that the company has available to invest or repurchase shares.

63. Answer C

Households are the primary source of funds in a financial system, as they save a portion of their income and invest it in various financial instruments, such as bank deposits, stocks, bonds, and mutual funds. These savings represent the supply of funds in the financial system.

Governments, businesses, and foreigners may also be lenders or savers in the financial system, but they are not the principal sources of funds. Governments may borrow funds to finance their activities, businesses may borrow funds to invest in their operations, and foreigners may invest funds in a country's financial system, but these activities represent the demand for funds in the financial system.

64. Answer is B

The entity has a court case with a competitor for a minor patent infringement" is least likely to cause uncertainty about the ability of an entity to continue as a going concern.

The going concern assumption assumes that the entity will continue to operate in the foreseeable future, and is fundamental to financial reporting. When there is significant doubt about the entity's ability to continue as a going concern, financial statements may need to be prepared on a different basis, such as a liquidation basis.

65. Answer is D

Money market instruments are short-term debt securities that mature in one year or less. Treasury bills are the most common type of money market instrument. They are issued by the U.S. government and have a maturity of one year or less.

Preferred shares, treasury notes, and government bonds are all longer-term debt securities. They are not typically traded in the money market.

66. Answer is A

IAS 2, Inventories, provides guidance on the accounting treatment of inventories. Paragraph 13 of IAS 2 states that "the cost of inventories shall comprise all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition."

For agricultural produce, IAS 41, Agriculture, provides additional guidance. Paragraph 22 of IAS 41 states that "when an agricultural produce is harvested, an entity shall recognize it as an inventory at its fair value



less estimated point-of-sale costs at the point of harvest." Therefore, the cost of harvested agricultural produce is deemed to be its fair value less estimated point-of-sale costs at the point of harvest.

67. Answer A

The amortized cost method is a method of accounting for investments that involves recognizing interest income and amortizing any premium or discount on the investment over its remaining term. The amortized cost is calculated by adjusting the initial cost of the investment for any premium or discount and then amortizing the premium or discount over the remaining term of the investment.

Trading equity instruments and trading debt instruments are investments that are held with the intent of selling them in the near term to generate profits from short-term price movements. These investments are reported at fair value, and any changes in fair value are recognized in the income statement.

68. Answer D

When a company declares a dividend, it becomes a liability of the company and is recorded in the financial statements. The dividend payable is recorded as a current liability on the date of declaration of dividend. The entry to record the declaration of dividends involves a debit to retained earnings (or a separate dividends account) and a credit to dividends payable.

69. Answer: None of the alternative

The depreciation expense for the first two years was $2 * 30,000 = \text{Birr } 60,000$.

The remaining depreciation expense is $340,000 - 60,000 = \text{Birr } 280,000$.

The new depreciation expense is $(280,000 - 40,000) / 5 \text{ years} = \text{Birr } 48,000 \text{ per year}$.

70. Answer is C

The contract is a two-year fixed price contract project, and CCC recognizes revenue over time according to percentage of completion. The estimated percentage of completion during 2021 is 60%.

Based on this information, we can calculate the total contract revenue and the revenue recognized in 2021 as follows:

Total Contract Revenue = Construction in Progress, 12/31/2021 / Estimated Percentage of Completion

= Birr 414 million / 60%

= Birr 690 million

Revenue Recognized in 2021 = Total Contract Revenue $\times$ Percentage of Completion during 2021

= Birr 690 million $\times$ 60%

= Birr 414 million

The cash collected on the project during 2021 is Birr 210 million, and the accounts receivable from construction progress billings as of December 31, 2021, is Birr 75 million.

To calculate the cash remaining to be collected on the project, we can use the following formula:

Cash Remaining to be Collected = Total Contract Revenue - Total Cash Received

Using the figures above, the cash remaining to be collected on the project is:

Cash Remaining to be Collected = Birr 690 million - Birr 210 million

= Birr 480 million



71. Answer is D

The sales and collection cycle is a sequence of five interrelated transactions that occur in the normal course of selling and collecting for goods or services. The five transactions are:

1. **Sales:** The sale of goods or services to customers.
2. **Billing:** The preparation and mailing of invoices to customers.
3. **Collections:** The collection of payments from customers.
4. **Write-off of uncollectible accounts:** The write-off of accounts receivable that are deemed uncollectible.
5. **Bad debt expense:** The recognition of bad debt expense for uncollectible accounts.

Interest income is not one of the five transactions included in the sales and collection cycle. Interest income is typically generated from loans or investments, and it is not directly related to the sales and collection of goods or services.

72. Answer is A

An insurance risk is a risk that can be transferred to an insurance company. The three main types of insurance risks are:

- **Property risk:** This is the risk of loss or damage to property.
- **Liability risk:** This is the risk of being held liable for the loss or damage to someone else's property or person.
- **Life risk:** This is the risk of death or disability.

A possible change in a non-financial variable that is specific to a party to the contract is not an insurance risk because it cannot be transferred to an insurance company.

73. Answer is D

Indirect taxes are not necessarily more convenient to the taxpayers than direct taxes. In fact, indirect taxes can be quite inconvenient for taxpayers, as they have to pay the tax when they purchase goods or services, even if they do not agree with the tax or do not want to pay it.

Direct taxes, on the other hand, are typically paid directly to the government, and taxpayers can often choose when and how they pay their taxes. This can make direct taxes more convenient for taxpayers than indirect taxes.

74. Answer is B

An Agency Fund is used to account for assets held by a government in a purely custodial capacity. The assets held in an Agency Fund are not available to support the government's own programs or activities. Instead, they are held on behalf of other parties, such as individuals, organizations, or other governments.

In the case of a special assessment project, the government is not obligated to repay the special assessment debt. Instead, the debt is repaid through special assessments on the property owners who benefit from the project. Therefore, the debt service transactions and the long-term debt issued should not be accounted for in an Agency Fund.



However, the capital assets constructed or acquired using the special assessment debt should be accounted for in an Agency Fund. This is because the assets are held by the government in a custodial capacity on behalf of the property owners who will be assessed for their cost. The bond proceeds and construction costs should also be accounted for in a Capital Projects Fund or a Debt Service Fund, depending on the specific circumstances of the project.

75. Answer is D

At the end of the year, after adjusting and closing entries, the Overvaluation of Branch Inventory account on the home office books will contain the markup on the branch's ending inventory.

76. Answer is D

Submit Balance sheet is not a legal requirement on Category 'B' taxpayers.

77. Answer is D

Activity-based costing (ABC) is a costing method that assigns costs to products based on the activities that are required to produce them. This means that ABC takes into account the different activities that are required to produce different products, and it assigns costs to products based on how much they consume each activity.

For example, a high-volume product might require a lot of machine time, while a low-volume product might require a lot of setup time. ABC would assign more overhead costs to the high-volume product because it consumes more machine time.

78. Answer is B

According to the scenario, the amount that the entity may be required to pay to the competitor is determinable with reliability, and it is less than probable but more than remote that an outflow of resources would be needed to meet the obligation. In this situation, the entity should make a disclosure of the possible obligation in the footnotes to the financial statements.

This disclosure should include the nature of the contingency and an estimate of its financial effect, if practicable. If an estimate of the possible obligation cannot be made, the disclosure should include a statement to that effect. Disclosures in the footnotes to the financial statements help users of the financial statements understand the potential risks and uncertainties facing the entity.

79. Answer is C

The adjusting entry on December 31 would be:

Debit Insurance Expense, Birr 3,220, and credit Prepaid Insurance, Birr 3,220

The reason for this is that the insurance policy is for one year, but the company has only used up half of that time period by December 31 (which is seven months after the policy's start date of June 1). Therefore, the amount of insurance that has been used up (or "expired") by December 31 is: $\text{Birr } 5,520 / 12 * 7 = \text{Birr } 3,220$.



80. Answer is D

To calculate the tax deducted from Abebu's earnings, we need to determine her taxable income first.

Abebu's gross earnings is Birr 2,600 (monthly salary) + Birr 300 (taxable allowance) + Birr 200 (non-taxable allowance) + Birr 100 (overtime) = Birr 3,200.

To determine Abebu's **taxable income**, we need to subtract the non-taxable allowance from the gross pay: Birr 3,200 - Birr 200 = Birr 3,000. So,

Income tax = taxable income X rate – deduction

$$= 3,000 \times 0.15 - 142.50 = 307.50$$

81. Answer is D

A joint operation is a business arrangement in which two or more parties agree to share the costs and profits of a specific activity. The parties to a joint operation do not create a separate legal entity, and they each retain control over their own assets and liabilities.

In this case, the two parties have a 50% ownership interest in entity C, and they each operate the facility that produces the materials to the quantity and quality specifications of the parties. This indicates that the arrangement is a joint operation.

82. Answer is C

The responsibility of maintaining an adequate internal control system lies with the management of an organization. The auditor's responsibility is to assess the effectiveness of the internal control system and to report on any material weaknesses that they identify.

83. Answer is A

A term premium is the additional return that an investor requires to hold a long-term security rather than a short-term security. This premium is compensation for the risk that the long-term security may be worth less than its purchase price when it matures.

The term premium is also known as the maturity risk premium.

84. Answer is B

Underwriting is the process of buying securities from a corporation at a predetermined price and then reselling them in the market. The investment bank that underwrites the securities is essentially guaranteeing that the corporation will be able to sell its securities.



85. Answer is C

Negative goodwill is the excess of the acquirer's interest in the net fair value of acquired identifiable assets, liabilities, and contingent liabilities over cost. It is also known as a bargain purchase.

Under IFRS 3, negative goodwill is now referred to as **gain on a bargain purchase** and which allowed negative goodwill to be recognized immediately in profit or loss.

86. Answer B

$$AFN = (A^*/S)\Delta S - (L^*/S)\Delta S - MS(1 - PM) - D(S \times PR)$$

Where:

A^* = total assets required to support sales

S = projected sales

ΔS = increase in sales

L^* = spontaneous liabilities

MS = additional or incremental capital required for the sales increase

PM = profit margin

D = change in dividends

PR = payout ratio

Using the given data, we can calculate the AFN for the coming year with the current payout ratio of 10% as follows:

$$A^*/S = Ag^*/Sp = \text{Birr } 500.0 / \text{Birr } 300.0 = 1.67$$

$$\Delta S = g \times S = 0.40 \times \text{Birr } 300.0 = \text{Birr } 120.0$$

$$L^*/S = (AP + A)/S = (\text{Birr } 50.0 + \text{Birr } 15.0 + \text{Birr } 20.0 + \text{Birr } 300.0 \times 0.10) / \text{Birr } 300.0 = 0.33$$

$MS = 0$ (since the problem states that the firm is operating at full capacity)

$PM = 20.0\%$

$D = 0$ (since we are assuming the current payout ratio of 10%)

Case 1: Pay out ratio is 10%

$$\text{Forecasted sales} = 300 + (300 \times 0.4)$$

$$= 420$$

$$AFN = (\text{birr } 500 \times 0.4) - (\text{birr } 85 \times 0.4) - [(\text{Birr } 420.0 \times 0.20) \times (1 - 0.1)]$$

$$AFN = \text{Birr } 90.4$$

Case 2: Pay out ratio is 50%

$$AFN = (\text{birr } 500 \times 0.4) - (\text{birr } 85 \times 0.4) - [(\text{Birr } 420.0 \times 0.20) \times (1 - 0.5)]$$

$$AFN = 124$$

$$\text{So, the difference is } 124 - 90.4 = 33.6$$

87. Answer is A

Timeliness is the quality of accounting information that ensures that it is available to users in a timely manner. This means that the information is available when it is needed to make informed decisions. In this case, the company is issuing its annual financial reports within one month of the end of the year. This is an example of timeliness because the information is available to users in a timely manner.



88. Answer is C

Confirmation of all major accounts is a test of details, which is performed as part of the audit execution. It is not performed as part of the planning phase of the audit. The other options are all performed as part of the planning phase of the audit.

89. Answer is D

The adjusted cash balance per bank statement is calculated as follows:

Cash balance per bank statement + Deposits in transit - Outstanding checks + Credit memo - Bank debit memo

$$= 10,500 + 1,200 - 1,500$$

$$= 10,200$$

90. Answer is C

$$\begin{aligned} & (\text{Number of US dollars} * (\text{Ending exchange rate} - \text{Beginning exchange rate})) \\ &= (120,000 * (59.384 - 59.332)) \\ &= 6,240 \text{ Birr gain} \end{aligned}$$

91. Answer is D

The main purpose for establishing a code of conduct for professionals is to **demonstrate acceptance of responsibility to the interests of those served by the Profession**. This means that the professionals agree to uphold certain standards of conduct in order to protect the public interest.

92. Answer is A

If one is able to fully diversify, the appropriate measure of risk to use is the beta. Therefore, the correct answer is option A.

Beta is a measure of the systematic risk of an asset or a portfolio in relation to the market as a whole. It measures the sensitivity of an asset's returns to the returns of the market. When an investor is able to fully diversify their portfolio, the only risk that remains is the systematic risk, which is measured by beta.

93. Answer is C

The fair value of the liability to be recorded in the financial statements for the year ended December 31, 20X4, is Birr 100,000.

To calculate the fair value of the liability, we need to first determine the total number of share appreciation rights granted, which is $100 \times 1,000 = 100,000$. We then need to determine the number of awards that will vest on December 31, 20X6, which is 90% of 100,000, or 90,000.

The fair value of each share appreciation right on December 31, 20X4, is Birr 10. Therefore, the total fair value of the liability is $90,000 \times \text{Birr } 10 = \text{Birr } 900,000$.



However, since the awards are expected to vest over a period of three years, we need to recognize the fair value of the liability over the vesting period. Using the straight-line method, we can recognize one-third of the fair value of the liability in each of the three years.

Therefore, the fair value of the liability to be recorded in the financial statements for the year ended December 31, 20X4, is one-third of Birr 900,000, or Birr 300,000. Since the question asks for the fair value of the liability on December 31, 20X4, we need to further recognize two-thirds of the fair value of the liability as an adjustment in future years.

Thus, the fair value of the liability to be recorded in the financial statements for the year ended December 31, 20X4, is one-third of Birr 900,000, or Birr 300,000, minus two-thirds of the fair value of the liability as an adjustment in future years, which is two-thirds of Birr 900,000, or Birr 600,000. Therefore, the net fair value of the liability to be recorded in the financial statements for the year ended December 31, 20X4, is **Birr 300,000**

94. Answer is D

The auditor tests the entity's policy of obtaining credit approval before shipping goods to customers to support the management assertion of existence or occurrence. This assertion states that the recorded assets exist and the recorded liabilities are obligations of the entity at the balance sheet date.

By testing the entity's policy of obtaining credit approval, the auditor is verifying that the entity only ships goods to customers who have been approved for credit. This ensures that the receivables recorded on the balance sheet are actually receivables and not fictitious.

95. Answer is C

Non-sampling risk is the risk that the auditor's conclusions are incorrect, even though the audit procedures were properly executed. It can be reduced by carefully designing audit procedures that are relevant to the specific assertions being tested.

To reduce non-sampling risk, the auditor should carefully design audit procedures that are appropriate for the specific risks of material misstatement in the financial statements. This involves understanding the client's business and industry, identifying significant accounts and assertions, and selecting audit procedures that are responsive to the risks identified.

96. Answer is C

These Special machinery for the part that has no resale value would be incurred regardless of whether the part is made or bought, so they should not be considered in the decision-making process.

97. Answer is A

The accounting equation shows the equality of resources with sources. This means that the total assets of a company must always equal the total liabilities and equity of the company.



98. Answer is D

The return on equity (ROE) is calculated as follows:

ROE = Profit margin * Equity multiplier or Net profit/equity capital

The equity multiplier is the ratio of total assets to equity.

$$\text{ROE} = \text{PM} * \text{Asset turnover} * \text{Equity multiplier} \\ = 0.053 * 1.6078 * 1.2 = \mathbf{0.10225}$$

$$\text{Assets turnover (AT)} = \text{sales/Total assets} \\ = 205,000/127,500 = \mathbf{1.6078*}$$

Assets reduced by 21,000

$$\text{Assets} = 127,500 - 21,000 = 106,500$$

$$\text{Assets turnover (AT)} = \text{sales/Total assets} \\ = 205,000/106,500 = 1.9248$$

$$\text{ROE} = \text{PM} * \text{Asset turnover} * \text{Equity multiplier} \\ = 0.053 * 1.9248 * 1.2 = 0.1224$$

SO, the difference is $0.1224 - 0.10225 = 0.021$ or 2.01%

99. Answer is B

The value of a firm is equal to the present value of its future cash flows. When a firm has debt, it can deduct the interest payments on that debt from its taxable income. This lowers the firm's tax bill, which increases the value of the firm.

The interest tax shield is the value of the tax savings that a firm receives from its debt. The interest tax shield is equal to the amount of interest that the firm pays multiplied by the corporate tax rate.

As the amount of debt increases, the interest tax shield increases, which increases the value of the firm.

100. Answer is C

The basic principle used to value an asset acquired in a non monetary exchange is to value it at **fair value of the assets given up**.

This is because the fair value of the assets given up is the best estimate of the value of the asset acquired. The fair value of an asset is the price that would be paid for it in an arm's length transaction between willing parties.